

STOCK PULSE

Tata Consultancy Services Ltd (TCS • NSE/BSE)

Sector: Information Technology | Pulse Score: 6/10 (MODERATE) | Data Confidence: 14/14 (HIGH) | Horizon: 10Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 2,348	52-WEEK HIGH / LOW Rs. 3,350 / Rs. 1,976.8
MARKET CAPITALISATION Rs. 8,50,604 Cr	PRIMARY SECTOR Information Technology
CMP (Rs. 2,348) is +18.8% above 52W Low (Rs. 1,976.8) and -29.9% below 52W High (Rs. 3,350) — trading in mid-range (27th percentile of 1-year band).	

02 Business & Operational Overview

Tata Consultancy Services is the flagship company and a part of Tata group. It is an IT services, consulting and business solutions organization that has been partnering with many of the world's largest businesses in their transformation journeys for over 50 years. TCS offers a consulting-led, cognitive powered, integrated portfolio of business, technology and engineering services and solutions.
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03 Valuation Multiples & Benchmark Banding

CHEAP

STOCK P/E RATIO 17.1 Fair Band: 20.4 - 27.6	PRICE TO BOOK (P/B) 7.93 BV: Rs. 296
DIVIDEND YIELD 2.73% Face Value: Rs. 1	SECTOR BENCHMARK P/E 24 -28.7% vs Sector
Valuation Note: Trading at a -28.7% discount vs sector average (24); sits below fair band [20.4 - 27.6]. (Implied P/E from CMP / EPS: 17.1).	

04 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 4.62% / 7.54% TTM Sales: Rs. 2,75,859 Cr	PROFIT 3Y / 5Y CAGR 2.78% / 5.42% TTM PAT: Rs. 50,055 Cr
EBITDA MARGIN PROFILE TTM: 27% Latest Qtr (Jun 2026): 26%	NET MARGIN PROFILE TTM: 18.15% Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 137.64 3Y EPS CAGR: 2.75%	OPERATING CASH FLOW GROWING Cash Flow Quality
Margin Bridge: TTM EBITDA margin (27%) reflects operating cash profitability before D&A; Net margin (18.15%) accounts for D&A, interest, and taxes.	

05 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 0.11 HEALTHY (<=0.5)	INTEREST COVERAGE 142.57x HEALTHY (>=5.0x)
CURRENT RATIO 1.81 WATCH (>=1.0)	FREE CASH FLOW TREND GROWING HEALTHY
Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Liquid current assets comfortably cover short-term 12-month obligations (Current Ratio >= 1.0).	

06 Return Quality & Capital Allocation

HEALTHY

RETURN ON EQUITY (ROE) 51.8% HEALTHY (>=15% Cutoff)	RETURN ON CAPITAL EMPLOYED (ROCE) 63% HEALTHY (>=15% Cutoff)
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MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	2/2	Global IT delivery brand recognition and enterprise client recall. High operating margin (>25%) reflects pricing power.
Switching Costs	2/2	Deep enterprise core system integration creates mission-critical migration risk.
Network Effects	0/2	Limited consumer network effects; standard vendor partner ecosystem.
Cost Advantage	2/2	Global offshore delivery pyramid structure and billing utilization. Resilient operating margins prove cost efficiency.
Regulatory License	0/2	Open services market without statutory monopolies.
Patents/IP	1/2	Proprietary software suites, accelerators, and AI delivery platforms.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 8,50,604 Cr) drives structural procurement scale.

08 Peer Comparison & Recent Events

Recent Corporate News Headlines (Most Recent First):

- [1 Sept 2026] TCS stock slips as Indian IT giant faces analyst scrutiny and AI deal questions - AD HOC NEWS
- [1 Sept 2026] Tata Consultancy Services Stock And Other Indian Dividend Anchors Built For Steady Income - finance.yahoo.com
- [25 Aug 2026] TCS stock falls after MHP acquisition: Brokerages bearish; Citi, HSBC flag integration risks, falling... - Moneycontrol.com

09 Ownership Structure & Management Trust

PROMOTER HOLDING 71.77%	Trend: FALLING	INSTITUTIONAL FII / DII 9.07% / 13.41%	Moderate
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 1 Qtrs Contraction	
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly consistency +1 Pledging <5% +1 Cycle resilience +1 Audit transparency UNMET CRITERIA (+0): +0 Promoter trend stable/rising +0 High institutional FII equity sponsorship			

10 The Pulse Score & What-If Matrix

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 2,75,859 Cr Net Profit (PAT): Rs. 50,055 Cr EPS: Rs. 137.64 Margin: 18.1% Dividend Yield: 2.73%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (10Y)	PROJECTED PAT (10Y)
Bear Case (-5.0% vs Base 16.1% Margin)	1.1%	Rs. 3,07,750 Cr	Rs. 49,548 Cr
Base Case (Historical Avg 18.1% Margin)	6.1%	Rs. 4,98,702 Cr	Rs. 90,265 Cr
Bull Case (+3.5% vs Base 19.6% Margin)	9.6%	Rs. 6,89,910 Cr	Rs. 1,35,222 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 6.1% + Dividend Yield 2.73% (Total Return: 8.80% CAGR) over 10Y -> Approx Rs. 2,32,428. * Valuation Sensitivity: Assumes constant valuation multiple (P/E 17.1 sustained). Mean-reversion to sector average (P/E 24) would adjust annualized return to 12.55% (Approx Rs. 3,26,178).			
PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN): 01. Valuation within fair/attractive range 02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady) 03. Operating profit expansion solid (>8% CAGR & no consecutive drops) 04. Solvency & liquidity balance sheet sound (zero watch/weak metrics) 05. Return on Equity (ROE) exceeds 15% 06. Return on Capital Employed (ROCE) exceeds 15% 07. Promoter shareholding stable/accumulating (or institutional backing >=40%) 08. Promoter shares unencumbered (pledge <=10%) 09. Defensible competitive moat (score >=5/14) 10. Management trust & capital allocation score >=4/8			
Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 6 governance benchmarks and penalty deductions (/8). Data confidence scores data completeness and freshness (14/14 HIGH).			
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